

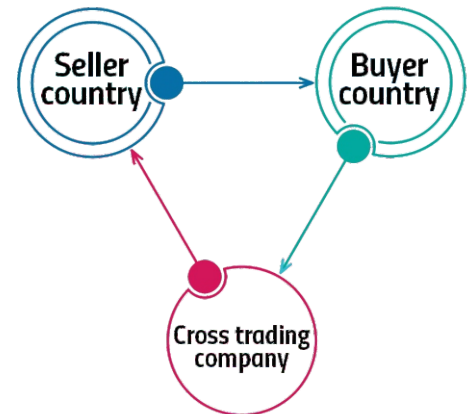
# Cross Trades Module

## What is a cross-trade?

As the name suggests a cross trade is a shipment that moves between point A and point B, without the cargo entering the premises or country of the seller.

{indicate graphic of a shipment moving from China to Brazil, but with the seller being in UAE}

Cross trades can be across all transport modes, air, sea, rail and road. It is important that the transporter that is chosen is competent enough to carry out a simple but crucial instruction. That being to switch the documents that would come from the manufacturer to the seller and then from the seller to the end customer.



There are a number of definitions for a cross trade.

As mentioned in a previous module, regional trade agreements or bodies such as the those of SADC and the EU can affect the construction of a deal. These inter-community trade bodies often have deals that happen between three parties within the same bloc and are known as intra community cross trades

The second bloc consists of those whereby the manufacturer or supplier is outside of the designated regional bloc. However the other two parties in the shipper and end customer are within the said customs zone. Then this type of cross trade is known as a Triangular Mixed Operational

The third type is where neither the manufacturer nor the end customer is based within a specific regional bloc. The shipper is though based within the said regional bloc. This is sometimes referred to as the Pure Triangular Operations

## Shorter Transit Times:

Instead of cargo taking a three point journey from supplier to seller and then end customers the cargo now is able to circumvent this and go direct to the end person

## Environmentally friendly

In today's world, CO2 emissions and the carbon footprint are increasingly important to organisations. Thus, the more direct routing has a positive impact on the green economy

## Lower Supply Chain Costs

By eliminating waste the supply chain is being utilised as efficiently as possible. Thus according to the principles of lean the elimination of waste is a fundamental principle.